

Russia's War Economy

Sanctions Adaptation, Oil Revenue, and the Structural Cost of the Ukraine War

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Executive Summary

Russia enters its fifth year of war with a military-dominated economy showing classic signs of structural overextension. Defence spending has consumed an extraordinary share of GDP — 7.5% on a total military basis in 2025 — while battlefield advances remain operationally insignificant relative to costs incurred. Sanctions evasion via the shadow fleet and non-Western intermediaries has preserved hydrocarbon revenues but at accelerating friction cost, as Western enforcement closes in on insurance, registration, and Baltic Sea transit chokepoints. The Sino-Russian energy pivot, sealed institutionally via the China-Russia Treaty of Good-Neighborliness and Friendly Cooperation and commercially via the \$400 billion Power of Siberia framework CNA[2014-05-23], provides Moscow a structural lifeline but on terms that progressively favour Beijing. Russia's role as BRICS convenor positions it symbolically within the emerging multipolar order, yet the alliance's internal tensions — particularly between China and India — limit its utility as a coordinated anti-Western instrument. Long-run structural erosion, not immediate collapse, remains the dominant scenario.

I. War Economy: Defence-Driven Growth with Overheating Risk

Russia's economy registered a sharp rebound in 2023 driven almost entirely by high military spending, but the quality of that growth is deeply compromised. The IMF's Kristalina Georgieva noted that with consumption remaining low, "growth buoyed by defence spending offers little benefit to ordinary Russians." CNA[2024-02-27]

SIPRI's authoritative budget analysis confirms the scale of the commitment. In 2025, Russia's 'National defence' expenditure represented 6.4% of GDP, with total military expenditure — encompassing paramilitary forces, mobilisation preparation, and off-budget items — reaching 7.5% of GDP. On a forward-budget basis, the official 'National defence' share is projected to decline to 5.2%, 5.3%, and 4.7% in subsequent years respectively, though SIPRI analysts note that mobilisation preparation spending is classified and therefore not included in published figures. [RAG: MILITARY_RAG — SIPRI: A Budget for a Fifth Year of War: Military Spending in Russia's Budget for 2026]

The Kremlin's internal posture on fiscal sustainability is one of managed confidence. At an EAEU summit in Minsk, Putin was quoted suggesting the deficit would remain manageable: "The Russian state is quite rational in its economic decision-making... Nothing catastrophic awaits us." [RAG: MILITARY_RAG — SIPRI: A Budget for a Fifth Year of War: Military Spending in Russia's Budget for 2026] This framing is consistent with a government that views the war as a medium-term financing problem rather than an existential fiscal crisis — for now.

The underlying structural risk is overheating. With labour diverted to military production and frontline mobilisation, civilian sector capacity is constrained. Defence spending creates demand without creating productive investment. Analysts warned as early as 2024 that Russia's economy risked overheating despite the headline rebound. CNA[2024-02-27] The longer-term trajectory depends heavily on oil revenue, which is itself subject to sanctions pressure and enforcement escalation.

II. Sanctions Evasion: The Shadow Fleet Under Pressure

Russia's primary sanctions circumvention mechanism for hydrocarbons is the shadow fleet — a growing flotilla of ageing, often uninsured tankers operating outside Western maritime insurance and registration systems. By August 2025, the EU had placed more than 415 ships under sanctions targeting the fleet. FT[2025-08-06] Kyiv School of Economics characterised aggressive shadow fleet interdiction as "important, substantive and very useful" for degrading Russia's ability to finance the conflict. FT[2025-08-06]

The evasion architecture has multiple layers. Vessels transporting Russian petroleum have been insured by Russia's own state insurer Ingosstrakh — which was added to US sanctions lists, and subsequently UK lists in June 2025, for insuring tankers transporting Russian petroleum. FT[2025-02-01] Tankers in the Baltic have been documented anchoring off Malta to take on supplies and then calling at ports in multiple jurisdictions, making origin obscurement routine. FT[2025-07-03]

Baltic Sea interdiction has become a key enforcement vector. Germany increased checks on Baltic Sea transits, and Sweden raised controls as well, seeking to cut shadow fleet vessels from offering cover for sanctions-barred western insurers. FT[2025-07-03] A direct attack on a vessel in the Baltic Sea and concerns about subsea cable severance by ageing shadow fleet ships have raised the security profile of this corridor. FT[2025-01-28]

By early 2026, Russia's crude export routing had shifted substantially toward India. Russia had been struggling before March 2026 with falling oil prices and loss of European customers; Indian arrivals of Russian crude via the shadow fleet were expected to continue "as long as the waiver" on Indian purchases persisted. FT[2026-03-25] Enforcement action on flag registration — forcing shadow fleet vessels through the same chokepoints as Iranian oil, most of which ends up in China — represents the next tier of Western pressure. FT[2026-03-25] The shadow fleet's fundamental vulnerability is its reliance on ageing vessels operating at the margins of global maritime law. FT[2025-01-28]

III. Military Attrition and Battlefield Geometry

Russia's military campaign has incurred the heaviest losses since the Second World War. The ODNI's 2024 Annual Threat Assessment stated plainly that "Russia has suffered more military losses than at any time since World War II," that the operation "failed to attain the complete subjugation of Ukraine that Putin initially sought," and that it "rallied the West to defend against Russian aggression." [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2024] The war has also sapped Russia's finances and available military resources for its Arctic ambitions, forcing a closer partnership with China in that theatre. [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2025]

Territorial gains in 2025 were modest relative to the attrition cost. According to US officials, Russia captured 1,865 square miles of Ukrainian territory in 2025, but "nowhere on the front did this equate to more than 60 miles of penetration or any territory of operational significance." [RAG: MILITARY_RAG — CRS: Ukrainian Military Performance and Outlook] The strategic fortress belt anchored by Sloviansk and Kramatorsk in Donbas remains intact as the primary UAF defensive line. [RAG: MILITARY_RAG — CRS: Ukrainian Military Performance and Outlook]

Drone warfare has fundamentally altered casualty economics. The Atlantic Council's analysis reported that "attack drones are now responsible for 80 per cent of all battlefield casualties in the" conflict. [RAG: MILITARY_RAG — Atlantic Council: Putin's next move? Five Russian attack scenarios Europe must prepare for] This shift favours the side with greater industrial production and electronic countermeasure capacity, areas where Western supply chains remain a Ukrainian advantage.

Russian casualty data is systematically unreliable. Leaked US intelligence documents noted "under-reporting of casualties within the [Russian] system highlights the military's 'continuing reluctance' to convey bad news up the chain of command." Russian media outlets have largely stopped reporting on the subject. [RAG: CONFLICT_RAG] This information suppression complicates strategic assessment but is itself indicative of the scale of losses Moscow declines to acknowledge.

IV. The China Pivot: Energy, Finance, and the Limits of Dependence

Russia's eastward reorientation is the defining structural adaptation of the sanctions era. The foundational commercial anchor is the \$400 billion, 30-year gas deal finalised in 2014 — providing 38 billion cubic metres of gas annually — which Putin described at the time as "the biggest construction project in the world." CNA[2014-05-23] Western sanctions made Russian energy cheaper for China, with Beijing boosting imports of Russian coal, gas, and oil while dismissing Western accusations of material support. CNA[2023-03-20]

By 2024, oil and commodity export flows had been substantially redirected. China and India together accounted for the dominant share of Russian crude purchases, filling the gap left by European buyers. Russia circumvented restrictions "by turning to third-party intermediaries," with China the primary destination for sanctioned barrels. CNA[2024-02-27]

The geopolitical dimension of the relationship was on display in May 2026, when Putin visited Beijing to mark the 25th anniversary of the China-Russia Treaty of Good-Neighborliness and Friendly Cooperation — his visit coinciding with a back-to-back Trump visit, positioning Xi Jinping at the centre of great-power diplomacy. CNA[2026-05-21] Analysts noted China was being projected "as a power that the system's other great powers seek to court, cooperate or bargain with" — a framing in which Russia serves partly as a demonstration of Chinese strategic centrality. CNA[2026-05-21]

Russia's financial infrastructure dependency on China has been building since 2014. Following initial Western sanctions, Russia developed its domestic Mir payment system as a SWIFT alternative, deployed initially in partnership with Chinese firms including an Alibaba joint venture. CNA[2018-09-11] This parallel payments architecture has proven durable, though its international reach remains constrained outside BRICS and CIS jurisdictions.

The asymmetry of the Sino-Russian relationship is the structural risk. Russia needs the partnership far more than China does. Energy is sold at discounted prices; Chinese technology exports are a partial substitute for sanctioned Western inputs; and Chinese diplomatic cover at the UN provides procedural protection. But Beijing has consistently refused to supply weapons, maintained transactional distance from the conflict's resolution, and positioned itself as a potential peace broker — maximising strategic optionality at Russia's expense. CNA[2023-03-20]

V. BRICS, Multipolar Order, and Institutional Leverage

Russia's role in BRICS provides it with symbolic convening power within the alternative international architecture that both Moscow and Beijing are cultivating. The bloc has expanded significantly — Iran, Saudi Arabia, and Egypt were among six nations invited to join in 2023, and Indonesia formalised membership by early 2025 — positioning BRICS as a credible institutional alternative to G7-led

frameworks. CNA[2023-08-24] CNA[2025-01-10]

The strategic value for Russia is real but limited. BRICS members have declined to send arms to Ukraine or impose sanctions on Moscow, in contrast to the G7's heavier sanctions posture — providing Russia with a coalition that validates non-alignment and blunts the West's claim to universal normative authority. CNA[2023-09-03] Russia also benefits from BRICS as a platform for pushing de-dollarisation themes and alternative settlement mechanisms.

The constraints are structural. BRICS operates by consensus among members with divergent interests. India and China must work closely together for the bloc to effectively challenge Western dominance — a condition that has proven difficult to sustain given border tensions and economic rivalry. CNA[2023-08-23] Xi Jinping's absence from the 2025 BRICS summit — the first such absence — underscored that China prioritises its own domestic and bilateral agenda over BRICS institutionalisation, leaving Russia with fewer high-level partners to advance multipolar ambitions. CNA[2025-07-02]

From a sanctions circumvention perspective, BRICS membership provides Russia with a reputational architecture — a set of nations unwilling to enforce Western financial restrictions — but does not resolve the core technology and capital access deficits that multi-year sanctions have created. The EU's initial 2014 sanction package deliberately excluded technology affecting Russia's gas sector CNA[2014-07-26]; subsequent packages have progressively tightened that exclusion, and the compounding effect on Russia's industrial base is now structural rather than cyclical.

Outlook

Russia's war economy is stable in the short term and eroding over the medium term. The shadow fleet remains functional but is under increasing enforcement pressure across insurance, flag registration, and Baltic Sea chokepoints. Military spending at 7.5% of GDP sustains frontline operations but crowds out productive investment and accelerates long-run human capital depletion. Territorial gains in 2025 — 1,865 square miles, none of operational significance — suggest the campaign has entered an attritional phase that favours the side with superior external supply chains.

The China pivot is Russia's most consequential strategic adaptation, but the asymmetric dependency it creates poses its own long-term risks. Beijing's interests in a prolonged but not decisive conflict, combined with its refusal to take sides openly, positions China to extract maximum economic and diplomatic concessions from Moscow without bearing the costs of the conflict.

The key inflection point is enforcement tightening on shadow fleet tankers and Russian energy export revenue. If the India waiver closes and Baltic interdiction intensifies simultaneously, Russian fiscal space narrows materially. Short of that, the Kremlin's own assessment — that "nothing catastrophic awaits us" — will remain a self-fulfilling forecast, at the cost of a generation of structural underdevelopment.

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All figures sourced from CivilisationOS RAG corpus.